

Advanced Micro-Fabrication Equipment China

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EQUITY: TECHNOLOGY

Etching pioneer expanding towards a platform

Sales growth momentum continues; platform strategy expanding TAM; resume coverage at Buy

Resume coverage on AMEC with a Buy rating and target price of CNY480.00

We resume coverage of Advanced Micro-Fabrication Equipment China Inc (AMEC) with a Buy rating. Our target price of CNY480.00 is based on a 20.0x forward EV/Sales multiple and our 2027F revenue forecast of CNY22.7bn. We think AMEC deserves a higher valuation with a premium over local peers given its higher-than-industry sales growth rate and strength in etcher with world-class products. We see AMEC as one of the most direct beneficiaries of China's semiconductor localization trend, with market share gains ahead. Driven by active capacity expansion of domestic memory makers and foundries, a strong customer base, installed-base stickiness, and a new market entry, we forecast a ~34% revenue CAGR over 2025-28F, reaching ~CNY30.1bn in 2028F, and a ~26% net profit CAGR in 2025-28F (~35% excluding non-recurring items).

Strong player in etching tools gaining market share; new products expanding TAM

AMEC is the domestic dominant player in etch, with rising presence in deposition (LPCVD, ALD). Currently, it holds around 4% market share in China's WFE market (our estimate), with higher market shares in specific areas such as etching (27-29%, CCP higher than ICP). In addition, AMEC is actively expanding product categories, expanding etching application coverage and deposition tool categories, such as PECVD and Epi. By internal R&D, it is taking efforts to enter the PVD, track (coating/developing), and electron beam metrology markets. By M&A and investment, it entered into the CMP and optical inspection fields. We estimate these new markets will increase AMEC's addressable market by ~82% in 2026F.

Customer base; installed-base stickiness the key moat; key beneficiary of localization rate increasing

AMEC's customers include major domestic memory makers, foundries, and IDMs, including YMTC, CXMT, SMIC, and HuaHong Group. We view its strong customer base, installed-base stickiness and related service & parts revenue potential as key moats. Aggressive capacity expansion and technology advancement of the two memory makers are increasing equipment demand, especially for etching and deposition. In addition, AMEC has been doing well in advanced process nodes, with its CCP etcher capable of up to 3nm. We estimate the equipment localization rate in China is now 26-27%, and we see more upside in the years to come, considering domestic equipment purchases at some new fabs is already exceeding 40%, and AMEC is a key beneficiary of this trend, in our view. Key risks include less aggressive wafer fab capacity expansion in China, slower market share gain, intensified competition, and easing of equipment export control from the US and Japan.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	12,385	0	16,412	0	22,728	0	30,052	
Reported net profit (mn)	2,111	0	3,963	0	3,162	0	4,211	
Normalised net profit (mn)	2,111	0	3,963	0	3,162	0	4,211	
FD normalised EPS	3.36		4.92		3.30		4.40	
FD norm. EPS growth (%)	29.3		46.3		-32.8		33.2	
FD normalised P/E (x)	94.8	–	64.8	–	96.4	–	72.4	
EV/EBITDA (x)	173.2	–	123.3	–	82.5	–	60.9	
Price/book (x)	8.8	–	11.5	–	10.4	–	9.2	
Dividend yield (%)	0.1	–	0.2	–	0.1	–	0.1	
ROE (%)	10.0		16.1		11.4		13.5	
Net debt/equity (%)	net cash		net cash		net cash		net cash	

Source: Company data, Nomura estimates

Rating
From Suspended **Buy**

Target price
From N/A **CNY 480.00**

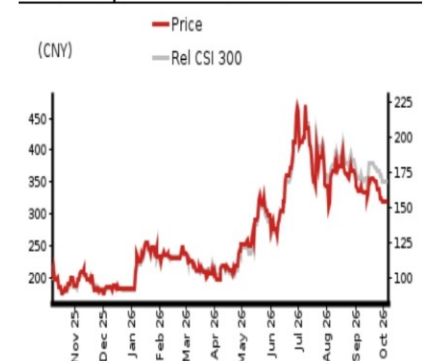
Closing price
30 September 2026 **CNY 318.55**

Implied upside **+50.7%**

Market Cap (USD mn) 45,509.8

ADT (USD mn) 1,314.5

Relative performance chart



Source: LSEG, Nomura

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Key data on Advanced Micro-Fabrication Equipment China

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-12.0	-32.0	58.7	M cap (USDmn)	45,509.8
Absolute (USD)	-11.8	-31.2	68.6	Free float (%)	65.8
Rel to CSI 300	-6.2	-19.5	64.8	3-mth ADT (USDmn)	1,314.5

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	9,065	12,385	16,412	22,728	30,052
Cost of goods sold	-5,343	-7,534	-9,869	-13,495	-17,688
Gross profit	3,722	4,850	6,543	9,233	12,365
SG&A	-2,409	-3,520	-4,710	-6,289	-8,234
Employee share expense					
Operating profit	1,313	1,330	1,833	2,944	4,130
EBITDA	1,573	1,680	2,315	3,549	4,844
Depreciation	-123	-160	-189	-239	-292
Amortisation	-138	-190	-293	-365	-422
EBIT	1,313	1,330	1,833	2,944	4,130
Net interest expense	87	48	-40	-20	-5
Associates & JCEs	23	52	110	80	70
Other income	287	760	2,217	487	467
Earnings before tax	1,709	2,190	4,120	3,491	4,662
Income tax	-95	-126	-202	-349	-466
Net profit after tax	1,614	2,064	3,918	3,142	4,196
Minority interests	1	47	45	20	15

Other items

Preferred dividends					
Normalised NPAT	1,616	2,111	3,963	3,162	4,211
Extraordinary items					
Reported NPAT	1,616	2,111	3,963	3,162	4,211
Dividends	-187	-219	-396	-316	-421
Transfer to reserves	1,428	1,892	3,567	2,846	3,790

Valuations and ratios

Reported P/E (x)	122.1	93.8	64.7	96.3	72.3
Normalised P/E (x)	122.1	93.8	64.7	96.3	72.3
FD normalised P/E (x)	122.5	94.8	64.8	96.4	72.4
Dividend yield (%)	0.1	0.1	0.2	0.1	0.1
Price/cashflow (x)	135.7	87.2	108.8	141.2	131.5
Price/book (x)	10.0	8.8	11.5	10.4	9.2
EV/EBITDA (x)	188.1	173.2	123.3	82.5	60.9
EV/EBIT (x)	224.8	217.0	153.9	99.0	71.3
Gross margin (%)	41.1	39.2	39.9	40.6	41.1
EBITDA margin (%)	17.4	13.6	14.1	15.6	16.1
EBIT margin (%)	14.5	10.7	11.2	13.0	13.7
Net margin (%)	17.8	17.0	24.1	13.9	14.0
Effective tax rate (%)	5.5	5.7	4.9	10.0	10.0
Dividend payout (%)	11.6	10.4	10.0	10.0	10.0
ROE (%)	8.6	10.0	16.1	11.4	13.5
ROA (pretax %)	10.2	6.2	7.4	9.7	11.4

Growth (%)

Revenue	44.7	36.6	32.5	38.5	32.2
EBITDA	-5.0	6.8	37.8	53.3	36.5
Normalised EPS	-9.7	30.2	44.9	-32.8	33.2
Normalised FDEPS	-9.9	29.3	46.3	-32.8	33.2

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,573	1,680	2,315	3,549	4,844
Change in working capital	-5,783	-166	-967	-1,247	-2,298
Other operating cashflow	5,668	781	1,012	-143	-229
Cashflow from operations	1,458	2,295	2,360	2,158	2,317
Capital expenditure	-895	-855	-1,320	-1,250	-1,140
Free cashflow	563	1,440	1,040	908	1,177
Reduction in investments	2,382	-253	506	-308	-471
Net acquisitions	0	0	0	0	0
Dec in other LT assets	-128	-912	6	125	93
Inc in other LT liabilities	2	58	17	19	21
Adjustments	-714	-143	-500	-625	-600
CF after investing acts	2,105	191	1,069	118	219
Cash dividends	-186	-187	-219	-396	-316
Equity issue	259	395	0	0	0
Debt issue	249	-9	0	0	0
Convertible debt issue					
Others	-310	-48	-40	-20	-5
CF from financial acts	12	151	-259	-416	-321
Net cashflow	2,117	342	810	-298	-102
Beginning cash	3,538	5,655	5,997	6,807	6,509
Ending cash	5,655	5,997	6,807	6,509	6,407
Ending net debt	-4,934	-5,267	-6,077	-5,779	-5,677

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	5,655	5,997	6,807	6,509	6,407
Marketable securities	834	792	871	958	1,054
Accounts receivable	1,352	1,987	2,330	3,523	4,051
Inventories	7,039	7,170	9,323	12,121	15,501
Other current assets	3,021	2,989	3,013	3,038	3,064
Total current assets	17,901	18,934	22,344	26,150	30,078
LT investments	2,644	3,622	4,166	4,768	5,463
Fixed assets	2,716	2,829	3,659	4,610	5,468
Goodwill	0	0	0	0	0
Other intangible assets	693	1,286	1,777	2,078	2,226
Other LT assets	2,263	3,175	3,169	3,044	2,951
Total assets	26,218	29,846	35,116	40,649	46,186
Short-term debt	0	0	0	0	0
Accounts payable	1,680	1,856	2,102	3,311	3,784
Other current liabilities	3,954	4,346	5,653	7,214	8,377
Total current liabilities	5,634	6,202	7,756	10,525	12,161
Long-term debt	722	730	730	730	730
Convertible debt	0	0	0	0	0
Other LT liabilities	126	185	202	221	242
Total liabilities	6,482	7,117	8,688	11,476	13,133
Minority interest	-1	34	-11	-31	-46
Preferred stock					
Common stock	622	626	626	626	626
Retained earnings	4,999	6,922	10,349	12,798	16,272
Proposed dividends					
Other equity and reserves	14,115	15,147	15,464	15,780	16,201
Total shareholders' equity	19,737	22,695	26,438	29,204	33,099
Total equity & liabilities	26,218	29,846	35,116	40,649	46,186

Liquidity (x)

Current ratio	3.18	3.05	2.88	2.48	2.47
Interest cover	-	-	45.8	147.2	826.1

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	2.61	3.40	4.92	3.31	4.41
Norm EPS (CNY)	2.61	3.40	4.92	3.31	4.41
FD norm EPS (CNY)	2.60	3.36	4.92	3.30	4.40
BVPS (CNY)	31.71	36.24	27.60	30.49	34.56
DPS (CNY)	0.30	0.35	0.63	0.33	0.44

Activity (days)

Days receivable	50.7	49.2	48.0	47.0	46.1
Days inventory	385.9	344.2	305.0	290.0	285.8
Days payable	67.5	85.7	73.2	73.2	73.4
Cash cycle	369.1	307.7	279.8	263.8	258.5

Source: Company data, Nomura estimates

Company profile

Advanced Micro-Fabrication Equipment Inc. China (AMEC, 688012 CH) was founded in Shanghai in 2004 by Dr. Gerald Yin and a team of veteran engineers from Applied Materials and Lam Research, headquartered in Shanghai, focusing on plasma etch technology solutions. AMEC was listed on the China A-share STAR Market in 2019, with ticker of 688012 CH. From a single CCP (capacitively-coupled plasma) etch platform, AMEC has built a complete portfolio covering CCP and ICP (inductively-coupled plasma) etch, MOCVD, LPCVD & ALD deposition, and epitaxy, serving integrated circuits (IC), LED, advanced packaging, MEMS and power devices. It is also actively expanding coverage into new equipment types including PECVD, PVD, CMP, process control, and track.

Valuation Methodology

Our target price of CNY480.00 is based on 20.0x EV/Sales multiple, and our 2027F revenue forecasts. We believe AMEC will continue to have higher valuation than domestic peers given its strength in etching, higher-than-market sales growth, and continuing market share increase. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for AMEC; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

ESG

AMEC's ESG targets carbon neutrality for its Scope 1 and Scope 2 emissions by 2035. Renewable electricity reached 42.32% of total power consumption in 2025, market-based Scope 1+2 emissions were about 34,400 tCO₂e, and emissions intensity has fallen for four consecutive years to 2.78 tCO₂e per CNY million of revenue (from 4.71 in 2023); the company also discloses Scope 3 emissions. Its Lingang industrial base earned Shanghai 'Green Factory' and 'Smart Factory' designations, and AMEC achieved its first group-wide ISO 50001 energy-management certification, alongside facility upgrades: LED lighting retrofits, cooling-tower replacement and MOCVD baking-cycle optimization, saving roughly 0.7 GWh of electricity per year. Uniquely among Chinese equipment peers, AMEC links ESG to product design: its industry-first dual-reactor etch platform saves around 30% of consumables, its dual-chamber thin-film tools cut material use by about 25% and footprint by 20%, and its MOCVD systems, by enabling LED lighting and display production, are estimated to save over three trillion kWh of electricity globally in 2025; the company also filed dedicated low-carbon patents. Governance-wise, AMEC operates a three-tier ESG structure (board ESG committee, ESG leading group, ESG working groups) and cascades ESG targets through MBO objectives down to individual employees, tied directly to annual bonuses. A nine-member board includes three independent directors and one female director; PwC serves as auditor; no bribery or unfair-competition litigation occurred; and the company reported zero information-security or data-leak incidents while winning a China Patent Silver Award. On the social side, AMEC hired 641 new employees in 2025 (including 167 graduates, 156 of them master's or PhD holders, drawn from over 50,000 applicants), granted 10 million restricted shares to employees with all staff eligible for equity plans, and R&D personnel account for 52.24% of its global workforce. The company recorded zero major safety accidents and 100% occupational-health examination coverage, enhanced benefits (higher housing-fund contributions and new spouse medical coverage), hired three employees with disabilities, and won a 2025 DEI employer award. Community programs include cumulative giving of CNY7.43 million to support 650 impoverished elderly households in Shanghai and over CNY2.9 million for pediatric care, including a pediatric liver-transplant initiative that has aided 23 children. External recognition spans the Forbes China ESG 50 list, the SEMI Sustainability Excellence Contribution Award and Wind's ESG Best-Practice Top 100.

Investment summary

Advanced Micro-Fabrication Equipment China, or **AMEC**, is China's dominant player in etching equipment and a rising player in deposition. AMEC was founded in 2004 by Dr. Gerald Yin (an alumnus of Applied Materials and Lam Research+) and listed on the China A-share STAR-board in 2019. AMEC has world-class etching equipment across CCP and ICP etching, with equipment running at advanced process production lines at leading overseas foundry and memory makers. We resume coverage of AMEC with a **Buy rating** and a target price of **CNY480.00**, implying ~51% upside, as we believe that market share gains and an increasing total addressable market (TAM) ahead will lead to sales growth and a re-rating.

Why we are positive on AMEC

- **World-class etching equipment.** Etch is AMEC's key moat, in our view. Its CCP dielectric etchers have achieved volume production at 3nm-and-above logic and 200+ layer 3D NAND production lines, being deployed in the most advanced lines of global leaders, including TSMC.
- **Thin-film deposition is a fast-emerging second engine.** LPCVD/ALD thin-film revenue surged 224% y-y in 2025. AMEC is also making efforts to expand deposition tools coverage into PECVD, PVD, and Epi, raising its addressable market.
- **Platform strategy progressing well.** Apart from deposition, AMEC is also expanding products into a wide range of categories by both internal R&D and M&A, including: (1) CMP equipment with the acquisition of Hangzhou SIZONE, (2) optical inspection tools through investment in Shanghai RISC, (3) electron beam metrology tool CD-SEM via internal R&D, and (4) track tools via internal R&D. These also lift its TAM. By our estimates, the above-mentioned new market entry could increase AMEC's TAM by ~82%.
- **Aggressive domestic memory capacity expansion.** The two major Chinese memory makers are actively expanding capacity and advancing their technology capabilities, where more equipment and higher-end equipment is needed, especially for etching and deposition (largest percent of fab capex for memory process).
- **Others key moats for AMEC** include a strong customer base (covering most of China's major fabs, memory makers, and integrated device manufacturers [IDMs]), technology advancement (increasing advanced process and memory process tools contribution), installed-base stickiness (high cost of changing equipment at customer, related services & parts revenue potential).

As we discussed earlier, we expect China's wafer fab equipment (WFE) market size to increase 27% to USD55.4b in 2026F, and further to USD103.5b in 2030F. The total WFE spending in China is expected to total USD407.3bn during 2026-30F. During this strong momentum, Chinese vendors are bracing for stronger growth driven by the government's domestic localization push, technology capabilities advancement, and extra equipment required due to the no-EUV (extreme ultraviolet) roadmap.

Financially, AMEC had a revenue CAGR of ~38% over 2022-25. By our forecasts, AMEC's revenue is expected to grow at a 34% CAGR over 2025-2028F, driven by stable growing etching, fast-growing LPCVD (Low Pressure Chemical Vapor Deposition) and ALD (Atomic Layer Deposition), as well as recovering MOCVD (Metal-Organic Chemical Vapor Deposition). Net profit increased at a ~26% CAGR, as margin contracted a bit due to some sales discount and promotion efforts, as well as increased R&D due to new product development and technology advancements. We expect margin to stabilize with a slight uptrend in coming years, and net profit to increase at a 26% CAGR over 2025-28F. Excluding non-recurring items such as investment gains and fair value gains, we expect recurring net profit to grow at a CAGR of 35%.

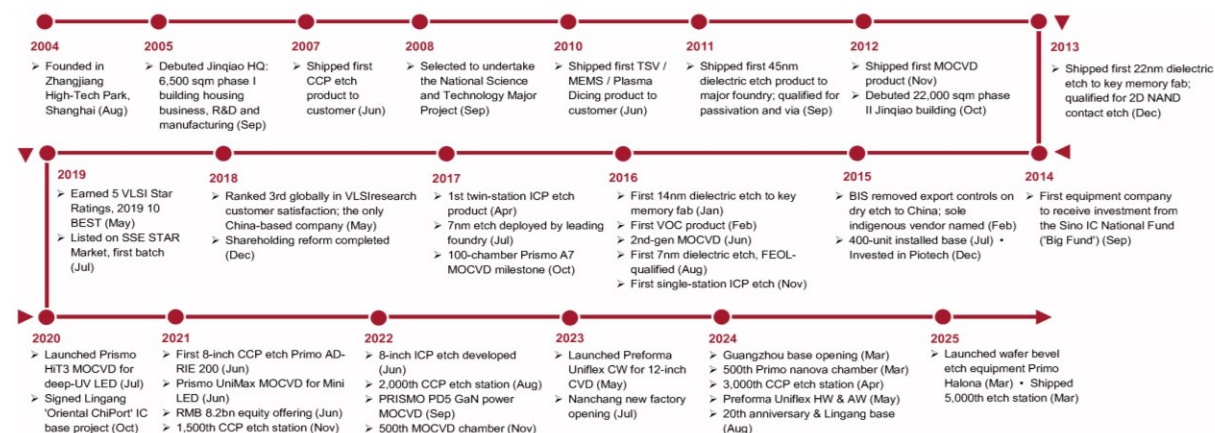
We resume coverage of AMEC with a **Buy** rating. Our target price of **CNY480.00** is based on **20.0x EV/Sales** on our 2027F sales revenue forecast, with a premium over local peers given its dominant position with world-class products. Key risks are primarily concerns about US sanctions escalation (impacting domestic fab capacity expansion), a slowdown in fab capex, intensifying competition, and a slower-than-expected margin recovery.

Company overview: China's pioneer in etching solutions with world-class products

Company history and shareholding structure

Advanced Micro-Fabrication Equipment Inc. China (AMEC, 688012 CH) was founded in Shanghai in 2004 by Dr. Gerald Yin and a team of veteran engineers from Applied Materials and Lam Research, headquartered in Shanghai, focusing on plasma etch technology solutions. AMEC was listed on the China A-share STAR Market in 2019. From a single CCP (capacitively-coupled plasma) etch platform, AMEC has built a complete portfolio covering CCP and ICP (inductively-coupled plasma) etch, MOCVD, LPCVD and ALD deposition, and epitaxy, serving integrated circuits (IC), LED, advanced packaging, MEMS and power devices.

Fig. 1: AMEC – company history

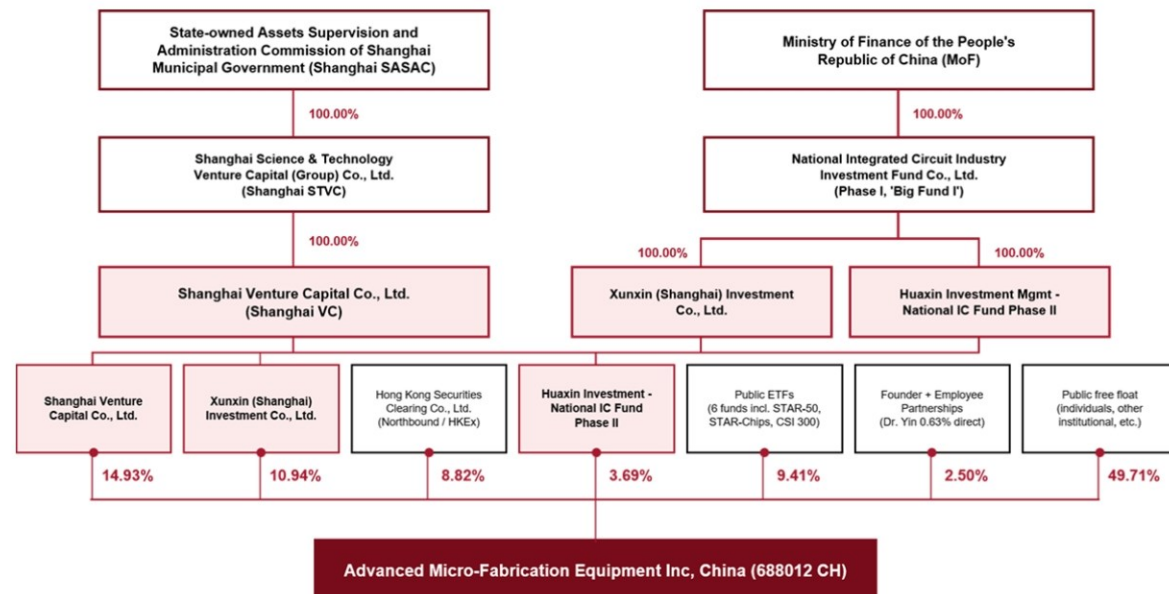


Source: Company data, Nomura research

AMEC's shareholding structure is a diversified mix of state-backed funds, institutional funds, and decentralized corporate control. There is no single absolute majority owner. The company operates under an internationalized, professional management-led structure established by founder Dr. Gerald Yin (Yin Zhiyao). The largest shareholder is Shanghai Venture Capital, which is state-owned local investment arm. Other important shareholders include Hong Kong Securities Clearing, Xunxin Shanghai Investment (a national-level semiconductor policy vehicle), and National IC Fund II.

Fig. 2: AMEC – shareholding structure (as of 31 Dec 2025)

AMEC has no controlling shareholder and no ultimate controller; (3) Founder Dr. Gerald Yin holds 0.63% directly and has additional indirect economic interest via the Jiaying partnerships.



Source: Company data, Nomura research

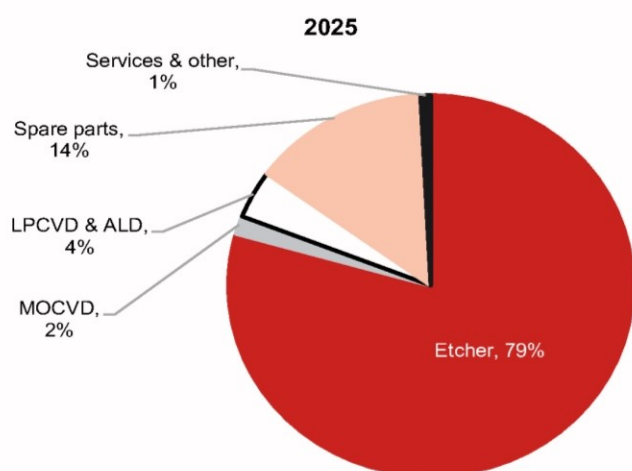
Business segments and product offerings

AMEC's business entirely lies in the semiconductor equipment industry. In 2025, 85% of its revenue was from sales of equipment, and 15% from spare parts and services. Within equipment, etcher is the cornerstone, with revenue contribution of nearly 80% in 2025. The cumulative etcher installed base exceeded 6,800 chambers in production across 170+ customer lines worldwide by end-2025. The total installed base of AMEC (etcher, MOCVD, LPCVD, ALD) exceeded 7,800 stations by end-2025, and exceeded 8,800 by end-2Q26.

MOCVD equipment used to account for a meaningful portion of AMEC's revenue (nearly 40% contribution in 2019), but with the display and LED industry turning weak, this segment also saw revenue decline and contribution shrink over the past few years. MOCVD revenue contribution was down to 2% in 2025.

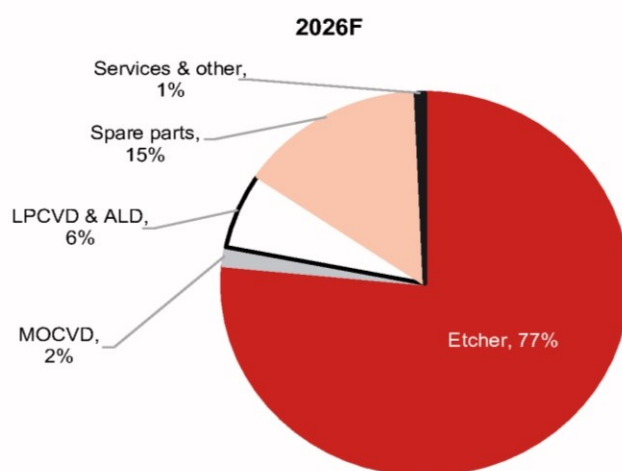
Deposition, including CVD (mainly LPCVD) and ALD, has been expanding quickly. LPCVD and ALD revenue contribution was 2% in 2024, and segment revenue grew >200% y-y in 2025, contributing 4% of total revenue. With more new products shipped and qualification completed, we expect this segment to contribute more in the near future.

Fig. 3: AMEC – revenue split by segment (2025)



Source: Company data, Nomura research

Fig. 4: AMEC – revenue split by segment (2026F)



Source: Company data, Nomura estimates

The company's etching equipment has been widely used by leading domestic and foreign customers, covering mature processes and advance processes up to 3nm, as well as advanced packaging.

CCP etching products. For logic IC, AMEC's CCP etching equipment has achieved volume shipment in chip production lines of 3nm and above in the leading global foundry. In terms of memory, its CCP etching equipment is widely used in 3D NAND production lines and also DRAM lines.

ICP etching products. The company's ICP etching equipment covers logic processes and memory.

Fig. 5: AMEC's etching equipment products summary (shaded cells are new products)

Equipment Category	Sub-product / Platform	Wafer Size	Applications	Process	Remarks
CCP Etch (high-energy plasma)	Primo D-RIE®	12" (also 8"/6")	Logic; Memory	65nm → mature	First-generation CCP dielectric etch; first CCP product shipped 2007
	Primo AD-RIE®	12" (8": AD-RIE 200)	Logic; Memory	45nm → 3nm and beyond	2nd-gen CCP dielectric; 45nm first shipped 2011; 8" version shipped 2021
	Primo SSC AD-RIE®	12"	Logic; Memory (2D NAND)	22nm → 3nm and beyond	Six single-station chambers on one platform; 22nm shipped 2013 for critical contact etch
	Primo HD-RIE®	12"	Memory (3D NAND); Logic	Advanced nodes	Mid-to-high aspect-ratio dielectric etch; launched 2015; six single-station chambers
	Primo Twin-Star® (twin-station)	12"	Logic; Memory	5nm and below	Industry-first twin-station CCP; ~30% lower consumables; picometre-level chamber matching
	Primo iDEA® (etch + strip)	12"	Logic; Memory	Advanced nodes	Twin-station D-RIE/AD-RIE modules + remote-plasma stripper (DsA) on one platform
	Ultra-high aspect-ratio etch (60:1)	12"	Memory (3D NAND, DRAM)	Advanced nodes	60:1 HAR in stable high-volume memory production; one of very few domestic suppliers
	Primo Halona™ (wafer bevel etch)	12"	Logic; Memory	Advanced nodes	First wafer edge/bevel etch tool; launched Mar 2025; entered customer line qualification
	Metal etch	12"	Logic; Memory	Advanced nodes	Newly developed metal etch tool; entered customer line qualification in 2025
ICP Etch (low-energy plasma)	Primo nanova® (single-station)	12"	Logic; DRAM; 3D NAND	1X nm and beyond	Up to 6 etch chambers + 2 optional strip chambers; low-capacitive-coupling 3D coil; 500th chamber shipped Mar 2024
	Primo Twin-Star® (twin-station ICP)	12"	Logic; Memory	1X nm and beyond	First twin-station ICP (2017); repeatability and matching at picometre control level
	8-inch ICP etch	8"	Power; Analog; CIS	Mature nodes	8" ICP etch product developed 2022; extends coverage beyond 12" fabs

Source: Company data, Nomura research

MOCVD was used mainly for LED and display in past years, and has been impacted by industry headwinds over the past several years. We expect the recent expansion into compound semiconductor Epi MOCVD to drive the segment back onto a growth path starting from 2026F.

LPCVD products include CVD-W (tungsten CVD, for contact-hole and W-line fill) and HAR W CVD (high-aspect-ratio tungsten fill, for wordline). **ALD** products include ALD W (tungsten fill in HAR structure) and ALD TiN/TiAl (metal gate, barrier). Furthermore, AMEC is also deploying in **PVD and Epi** equipment.

Fig. 6: AMEC deposition equipment products (MOCVD, LPCVD, ALD, PVD, Epi) summary (shaded cells are new products)

Equipment Category	Sub-product / Platform	Wafer Size	Applications	Process	Remarks
LPCVD / CVD (Thin Film)	Preforma Uniflex™ CW (CVD W)	12"	Logic; DRAM; 3D NAND	Advanced nodes	Tungsten CVD; up to five twin-station chambers (2 wafers each); contact-hole and W-line fill
	Preforma Uniflex™ HW (HAR W)	12"	Memory (3D NAND)	Advanced nodes	Extreme-high-aspect-ratio tungsten fill; launched May 2024; volume sales to top domestic memory maker
	Preforma Uniflex™ AW	12"	Logic; Memory	Advanced nodes	Launched May 2024; broadens the thin-fill deposition portfolio
	PECVD (VHF decoupled source)	12"	Logic; Memory	Advanced nodes	VHF decoupled reactive-ion plasma source; 16-station configuration; +80–100% throughput vs. standard tools
ALD (Atomic Layer Deposition)	ALD W (ALDW)	12"	Memory (3D NAND, DRAM)	Advanced nodes	Volume sales to top domestic memory maker; conformal tungsten for HAR structures
	ALD TiN / TiAl	12"	Logic; Memory	Advanced nodes	Metal-gate and barrier films; delivered for advanced logic and memory line qualification
PVD / EPI (Thin Film)	CuBS PVD (ultra-multi-chamber)	12"	Logic; Advanced packaging	Advanced nodes	Sharply lower BS resistivity; +50–100% throughput; delivered to domestic advanced-logic R&D line
	SPTi (PVD Ti)	12"	Logic; Memory	Advanced nodes	Metal film deposition; recognised by multiple customers; metal-film chambers shipped >300 cumulatively
	Si/SiGe EPI	12"	Logic (advanced); Memory	Advanced nodes	Developed in under two years; unique design and excellent uniformity; endorsed by leading customers
MOCVD	Prismo A7®	4"/6" (LED)	LED (GaN-based); Display	N/A (compound epi)	2nd-gen MOCVD; 100th chamber milestone 2017; >90% share of global GaN LED MOCVD market
	Prismo HiT3®	4"/6"	Deep-UV LED	N/A (compound epi)	Proprietary tool for high-quality AlN and high-Al-composition growth; launched 2020
	Prismo UniMax®	4"/6"	Mini LED; Advanced display	N/A (compound epi)	High-volume Mini-LED production for advanced display; launched 2021
	Prismo PD5®	6"	Power (GaN)	N/A (compound epi)	GaN power-device production; launched 2022; 500th MOCVD chamber shipped 2022
	Micro-LED MOCVD (4 new models)	6"/8"	Micro LED (blue-green, red-yellow)	N/A (compound epi)	Blue-green and red-yellow Micro-LED MOCVD launched 2025; organometallic source efficiency +10%
	SiC / GaN power MOCVD	6"	Power (SiC, GaN)	N/A (compound epi)	New power-device MOCVD launched 2025; broadens beyond LED into power electronics

Source: Company data, Nomura research

Apart from the above-mentioned types, AMEC also has **TSV** (for advanced packaging), **process control** (CD-SEM, an e-beam metrology tool), and **CMP** equipment (via acquisition of Hangzhou SIZONE).

By expanding its product offerings, AMEC has been progressing its platform strategy, targeting to cover over 60% of front-end WFE types and over 70% of back-end advanced packing equipment types in five years, according to management.

Customer base, R&D and technology roadmap

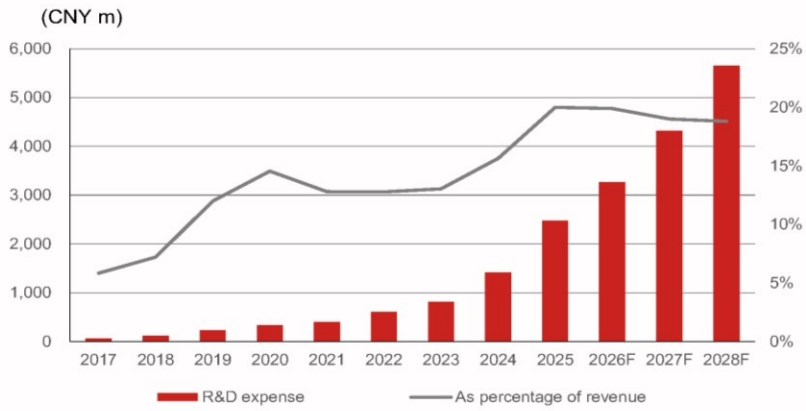
The largest customer of AMEC, YMTC (unlisted), accounted for ~40% of the company's revenue in 2025, and its top-5 customers together accounted for ~75%. The two domestic memory makers (YMTC, CXMT [688825 CH, Buy]) are the company's largest strategic customers, with domestic logic and mature fabs rising. Furthermore, AMEC is TSMC's etching supplier (for CCP), with its supply share ranked No.3 (behind Tokyo Electron and Lam Research). Its etching equipment has entered into TSMC's 3nm-and-above production lines in various locations.

Fig. 7: AMEC's key customers

Tier	Customer	Type / Segment	Relationship	Key Details
Tier 1	YMTC (长江存储)	Memory — 3D NAND (232L / 3xxL)	Strategic anchor customer	Largest single customer; around 35-40% share of YMTC 3D NAND etch procurement; 60:1 ultra-high-aspect-ratio etch in volume production on its lines;
	CXMT (长鑫存储)	Memory — DRAM & HBM	Strategic memory customer	One of the main TSV-etch suppliers for HBM (HBM2e/3 ramp); 2026 IPO to fund expansion to 350K wpm by end-2026 and 500K wpm by 2028
	SMIC (中芯国际)	Logic foundry (advanced & mature)	Core logic customer; 10+ yrs	Key logic customer; revenue contribution high-single digit
	Hua Hong Semiconductor (华虹半导体)	Specialty foundry (power, embedded, MCU)	Long-term customer	New equipment purchaser (Hua Hong Wuxi); multi-node etch and thin-film tools across the group's expansion
	TSMC (台积电)	Advanced logic foundry (up to 3nm)	Key domestic tool vendor qualified	CCP dielectric etch qualified for 5nm, being the only Chinese equipment maker in TSMC's 5nm line; a further 10-tool 5nm order placed Jun 2025, fully delivered by Q1 2026; 3nm back-end etching supplying
Tier 2	HLMC (华力微)	Advanced logic foundry (28/14nm)	Key logic customer	Etch and deposition tools for advanced logic production lines
	CR Micro (华润微)	Power IDM (MOSFET / IGBT)	Power-sector customer	Power and analog process equipment across its fabs
	Yandong Micro (燕东微)	Specialty / power foundry	Established customer	Specialty and power process tools
	Silan Microelectronics (士兰微)	Power IDM (IGBT / MOSFET / SiC)	Power customer	Power-device etch and deposition equipment
	Sanan Optoelectronics (三安光电)	Compound semi (LED / SiC / GaN)	MOCVD anchor customer	Core MOCVD customer for GaN-based LED; also SiC/GaN power-device MOCVD and compound etch
	Starpower (斯达半导)	Power (IGBT / SiC) — auto & industrial	Power customers	Power-device MOCVD and etch equipment for automotive and industrial IGBT/SiC
Tier 3	SK Hynix (Dalian) (SK海力士大连)	Memory - 3D NAND (China fab)	3D NAND	The second largest supplier for etching in China sites
	Samsung Electronics (三星电子)	Display & OED; Memory / logic	MOCVD customer; Etch qualification / early orders	One of Samsung's suppliers in MOCVD (for display and LED segment); testing AMEC etch tools and placing new etch orders
	Epistar / Seoul Semiconductor (晶元光电 / 首尔半导体)	LED (overseas)	Overseas MOCVD customers	MOCVD customers outside mainland China; AMEC holds >80% of the global GaN LED MOCVD market
	HC SemiTek / Zhaochi (华灿光电 / 兆驰股份)	LED / compound semi	Domestic MOCVD customers	MOCVD and compound etch equipment for LED chip production, including Micro-LED
	JCET / TFME (OSAT) (长电科技 / 通富微电)	Advanced packaging (CoWoS-type, Chiplet)	Emerging packaging customers	TSV and advanced-packaging etch for domestic CoWoS-type capacity build-out

Source: Company data, Nomura research

R&D is the foundation of the company. R&D expense in 2025 reached CNY2.5bn (+75% y-y), accounting for ~20% of revenue, among the highest R&D intensities in the global equipment industry. This spending is related to AMEC's platform strategy, where new product types are continuing to enter the market.

Fig. 8: AMEC – R&D expense and as percentage of revenue

Source: Company data, Nomura estimates

Competitive advantages and growth drivers

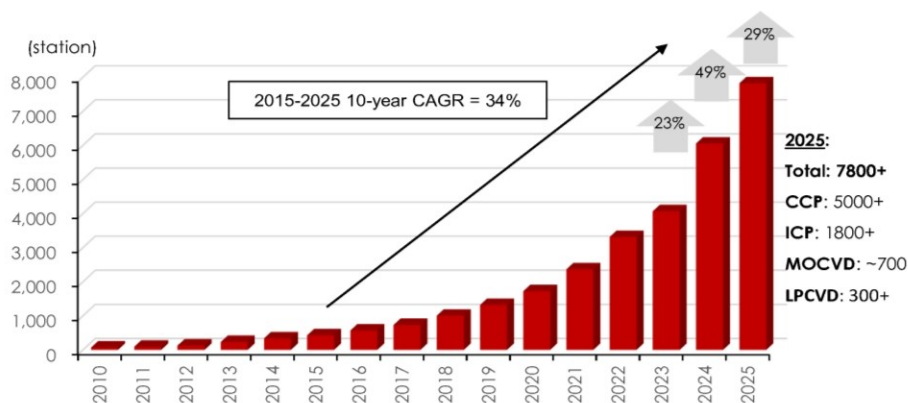
AMEC a dominant supplier for etching equipment in China with world-class products. In addition, AMEC is now expanding towards a platform-type equipment provider, which we believe will not only enlarge its total addressable market, but also help penetrate into more customers.

Technology strength: etcher in advanced production lines; dominant market share in China

AMEC is one of the companies whose etcher run in 3/5nm advanced logic lines and 200+ layer 3D NAND volume production lines. Its CCP dielectric etchers have been qualified at TSMC, SK Hynix, and some other global leaders.

- **Domestic 3D NAND:** one of the key suppliers in terms of etching, with high supply share, supporting 200+ layer 3D NAND. YMTC's new built production lines have equipment localization rate over 50% (including lithography portion), etching along would be higher. AMEC's etcher has penetrated into core and difficult steps such as high-aspect-ratio (HAR) etch, channel hole and slit etch.
- **Domestic DRAM:** high supply share in CXMT. Equipment localization rate in CXMT new build fabs lower than YMTC but also higher than 50%, which means etching along would be higher. AMEC's etchers are supporting dielectric and silicon etch steps.
- **Domestic foundry:** one of SMIC's main suppliers for etchers. Advanced logic foundry fabs usually have lower equipment localization rate, relying more on global leaders.
- **Overseas foundry:** the earliest China equipment vendors qualified for TSMC's advanced process lines. AMEC's equipments are now supporting up to 3nm in TSMC's fabs across various locations, being TSMC's third-largest supplier in terms of etcher (behind Tokyo Electron and Lam Research).
- **Overseas memory:** AMEC is one of the key suppliers that supports SK Hynix's fabs in China, with supply share ranked at No.2 in terms of etcher.

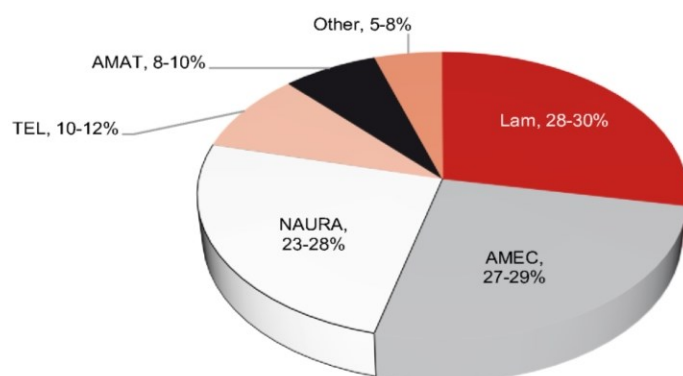
Fig. 9: AMEC – accumulative installed base (in reaction station)



Source: Company data, Nomura research

Backed by its strong etching technology capability, AMEC was the largest domestic supplier for etcher. By our estimates, AMEC ranked No.2 in China's etching equipment market, with a market share of 27-29% in 2025.

Fig. 10: China etching equipment market share estimate (2025)



Source: Nomura estimates

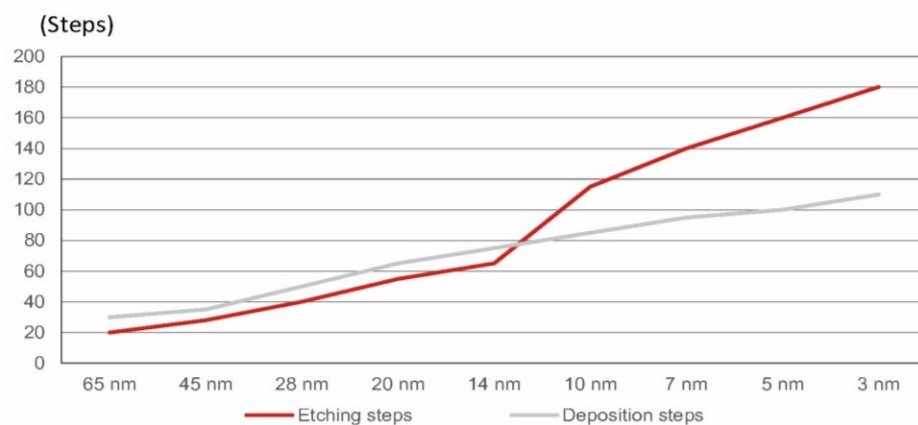
The strength in technology capability, along with dominant market share, forms a high entry barrier and deep moat for AMEC. Usually for a wafer fab, equipment replacement is infrequent if no obsolescence and upgrades, because equipment qualification and line-up would take a lot of time and extra costs. So first mover advantage is important. In addition, large installed base will bring more service & parts related revenue, which is a high margin business for equipment vendors.

Technology advancement and node migration increase equipment demand

By our estimates, etching and deposition is expected to grow at faster pace than lithography, as China has no availability on EUV lithography system. Multi-pattern in advanced nodes would require more etching and deposition steps, which increases the TAM of etching and deposition equipment at faster pace.

The step-count penalty (more steps needed) of multi-pattern is large. For example, a 7nm-class IC requires roughly 140 etch steps, versus about 40 at 28nm, equivalent to a ~3.5x inflation. On a per-fab basis, a 12-inch advanced line consumes roughly 60 etching tools per 10k wpm, versus ~25 for a mature node line, equivalent to a 2.4x increase. Coupled with etching, more deposition steps are also required.

Fig. 11: Step count estimates of etching, deposition, cleaning by process node



Source: SEMI, TEL, Nomura research

Fig. 12: Equipment demand by process and platform

Equipment Type	Mature Logic (90nm)	Advanced Logic (14nm FinFET)	DRAM (1x/1y)	3D NAND (128L+)
Lithography (Scanner)	3–5	6–8	6–8	6–8
Track (Coater/Developer)	5–7	8–12	8–10	8–10
Etch	20–30	50–80	40–80	55–90
CVD / ALD	20–30	35–55	45–60	85–135
PVD (Sputtering)	15–25	15–30	15–30	10–15
Electroplating / ECP (Cu)	2–4	2–4	2–4	2–4
Heat treatment	15–25	30–45	25–35	35–50
Ion Implanter	4–6	7–12	10–14	8–15
Cleaning	15–20	20–35	20–35	30–50
Stripping / Ashing	6–12	12–18	12–18	12–18
CMP (Chemical Mechanical Polish)	8–12	15–25	15–25	15–25
Metrology & Inspection	15–25	30–50	30–50	30–50

Source: Nomura research;

Note: numbers varies across different fabs, products and platforms, rough estimates

Multi-station design a key edge

Dual-station design is one of AMEC's signature innovation and design features. Many of AMEC's equipment have multi-chamber design, and each chamber consists of multiple stations (usually 1 to 4). For example:

- Primo D-RIE: AMEC's first dielectric CCP etcher product, equipped with modularized dual-station chamber design, supporting up to 3 chambers (6 stations in total).
- Primo AD-RIE: based on D-RIE, also supporting up to 3 chambers with dual-station (up to 6 stations in total).
- Primo Twin-Star: AMEC's ICP etcher product, supporting up to 3 chambers with dual-station (up to 6 stations in total), plus 2 optional stripping chambers.
- Preforma Uniflex AW: 12-inch ALD deposition for tungsten, supporting up to 5 chambers with dual-station (up to 10 stations in total).
- Preforma Uniflex CW: 12-inch CVD deposition for tungsten, supporting up to 5 chambers with dual-station (up to 10 stations in total).
- Prefima Unicore AM: 12-inch ALD deposition for Molybdenum (announced in Sep 2026), quad-station design.
- Performo QuaStar ON: new PECVD equipment for ONON deposition of SiO₂ and Si₃N₄ (announced in Sep 2026), supporting up to 4 chambers with quad-station (up to 16 stations in total).

The advantages and edges of multi-station design are meaningful: (1) high footprint efficiency, which means equipment takes up less area in the fab but can process more wafers, increasing station-count by 30-50% in the same area of cleanroom; (2) reducing cost of ownership – stations sharing some components (such as robotic arm, vacuum pump, control valve) in one chamber, BOM cost of one piece of equipment is lowered, which gives AMEC cost and pricing advantage; (3) less power and consumables usage (gas, wet materials), reducing operating expenses and manufacturing cost for customers; (4) high production efficiency, or WPH (wafer per hour); (5) high uniformity and high matching performance, meaning the process consistency is high between two stations.

On the contrary, Lam Research's main products feature a single-wafer independent chamber, where one unit supports 4-8 chambers with a single-station, which has lower processing efficiency than multi-station design, but allows extremely high level of process control and single wafer processing quality. Tokyo Electron's main products are focusing on high chamber density, usually equipped with more chambers (6 to 12) with a single-station, plus a high-efficiency robotic arm for inter-chamber transport, allowing higher wafer throughput and high processing quality.

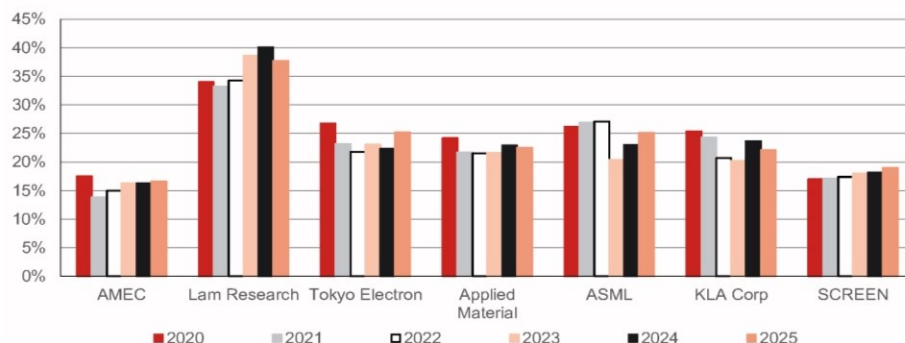
Installed-base stickiness and services

This especially benefits the leading players, with large installed bases and customer bases. Once a tool is qualified into a fab and running in volume, switching costs are high, as requalification is expensive and process recipes are tightly coupled to the equipment.

AMEC's growing installed base therefore generates a recurring stream of spare parts, upgrades and services. This compounding installed-base dynamic is the same one that has underpinned the decades-long dominance of Applied Materials and Lam Research, and is now forming around AMEC, in our view.

With a large installed base and customer adoption, we expect service revenue will grow accordingly. Currently, AMEC's revenue percentage is only around 15-18%, far below those of global peers. Lam Research, the global leader in etching and deposition, has the highest services and spare parts revenue percentage in the industry at 35-40% (company data). Considering AMEC is now expanding its market share and customer base in China, we expect services and spare parts revenue to catch up quickly.

Fig. 13: Revenue from services and spare parts percentage of total



Source: Company data, Nomura research

Platform strategy expanding equipment coverage and TAM

AMEC has been expanding beyond etching tools and MOCVD, through acquisitions and internal product development. Its first LPCVD (for tungsten) was shipped in 2H21, and first ALD was shipped in 2025. The revenue contribution of LPCVD and ALD has risen to 4% in 2025 (from 2% in 2024). We expect this segment to have a higher growth rate than etching and the corporate average, as more qualifications are completed. AMEC has been actively expanding its coverage in etching and deposition applications. According to management, among all ~108 CCP etching applications (including mature logic, advanced logic, NAND, and DRAM), AMEC has already covered ~58 in volume production, with ~20 qualified and ~25 in qualification. Among all ~192 ICP etching applications, AMEC has already covered ~49 in volume production, with ~76 qualified and ~65% in qualification.

Fig. 14: AMEC's etching application coverage

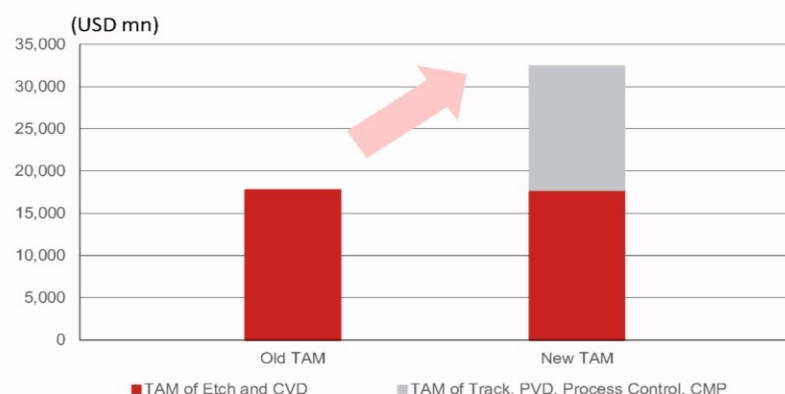
Etching type	Process	Application count	AMEC covered in VP	AMEC qualified	AMEC in qualification	To be developed	Coverage (in VP and qualified)
CCP	Mature logic	12	7	5	0	0	100%
	Advanced logic	47	15	10	21	1	53%
	3D NAND	32	28	1	0	3	91%
	DRAM	17	8	4	4	1	71%
	Total	108	58	20	25	5	72%
ICP	Mature logic	17	6	9	1	1	88%
	Advanced logic	76	14	52	10	0	87%
	3D NAND	35	16	0	19	0	46%
	DRAM	64	13	15	35	1	44%
	Total	192	49	76	65	2	65%

Source: Company data, Nomura research

The company has also launched its PECVD products in September 2026, being qualified in domestic chipmakers. PVD tools (for Cu seed layer) is also being tested by some customers. Track (coating and developing) is also under AMEC's roadmap, with development to start in the near future, according to management. In terms of process control, AMEC currently has an electron beam metrology tool, CD-SEM, in its main entity, and is also expanding into optical inspection through its investment in Shanghai RISC (上海睿励). Furthermore, it entered into the CMP equipment field with the acquisition of

Hangzhou SIZONE (杭州众硅), with the M&A completed in 1H26. In our view, the PVD, track, process control, and CMP additions could increase AMEC's addressable market by roughly 82% in 2026F.

Fig. 15: AMEC semiconductor equipment China TAM estimate (2026F)

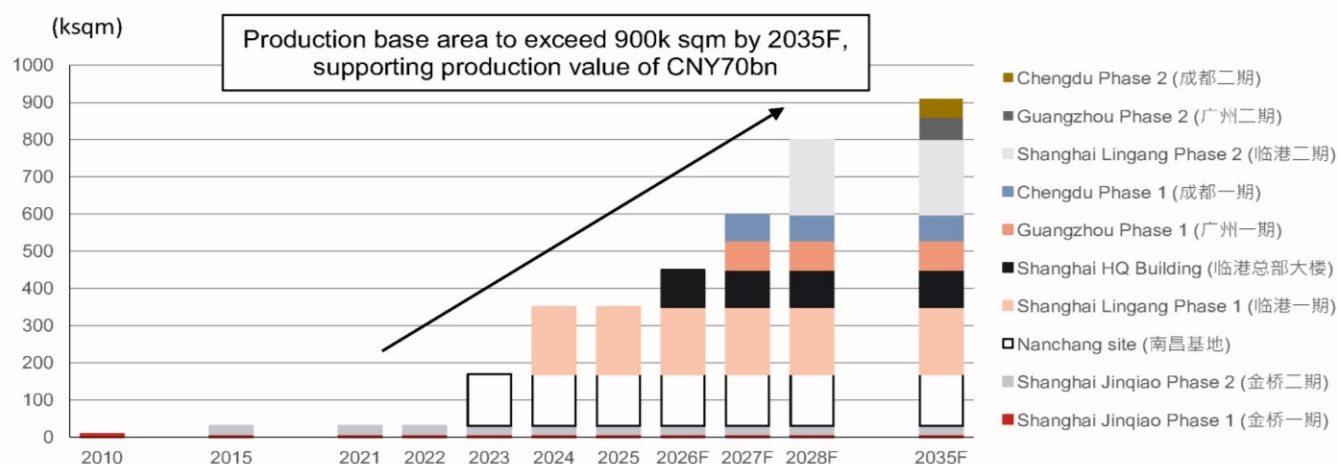


Source: Nomura estimates

Production site expansion for future potential

Starting with Shanghai Jinqiao, AMEC had two major production and R&D bases in Jinqiao, with total area of only ~30ksqm. In 2021, AMEC completed a share placement and raised a total of CNY8.0bn for production site expansion (Nanchang site and Shanghai Lingang site Phase 1, Shanghai Headquarters Building). After these three sites, AMEC's total working area ~450ksqm, around 15x compared with earlier. Furthermore, several new production bases are now being constructed and expected to be put into use in the near future, including two in Guangzhou, two in Chengdu, and Shanghai Lingang Phase 2. Total working area would exceed 900k once all sites are fully ramped up (expected by 2035F), and could support production value of CNY70bn, according to management.

Fig. 16: AMEC – production site area to exceed 900k sqm by 2035F



Source: Company data, Nomura estimates

Enough production site is the premise of order delivery and sales growth. That being said, key component sourcing and talent acquisition are other two important aspects of delivery capacity. AMEC has been in good relationship with key component suppliers, especially those difficult ones like electrostatic chuck, valve, pump, MFC. In addition, domestic suppliers of these components are being tested, which we believe could potentially further enhance its delivery capacity once qualified components could be sourced domestically.

China's localization push – the most promising driver

China is the world's largest WFE market, but its self-sufficiency rate remains low, around 26-27% (and far lower in lithography and ion implanter). Export controls have converted localization from a cost decision into a strategic necessity. Domestic fabs are now actively sourcing and qualifying Chinese tools across every front-end step. As a dominant domestic vendor in etching and deposition, AMEC is one key beneficiary in this trend.

In terms of localization, there are two layers to consider: (1) a higher semiconductor device localization rate would drive more domestic capacity expansion, which would further translate into higher WFE TAM; (2) in addition, a higher equipment localization rate would further reflect domestic equipment vendor market sales growth and market share gain.

AMEC's market share in China, by our estimate, was around 4% in 2025, and we expect it to further increase to 4.3% in 2026F. By our estimates, (1) if AMEC achieves a 5% market share in 2030F, it would have a sales CAGR of ~24% during 2025-30F; (2) if AMEC achieves a 10% market share in 2030F, it would have a sales CAGR of ~42% in 2025-30F. In addition, with more capacity to be added, the upside would be more.

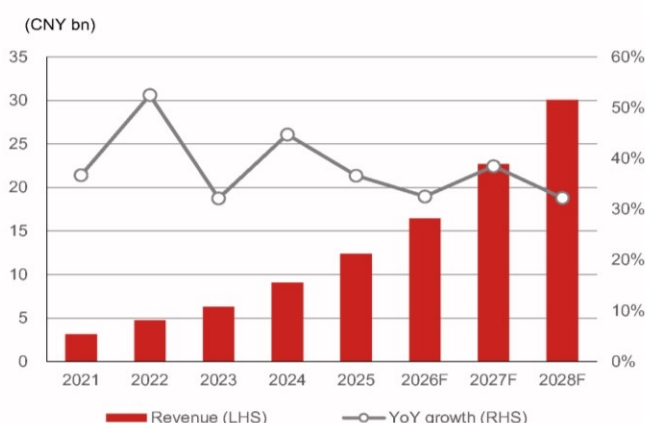
Financial analysis and outlook

Solid momentum in revenues; new segment quickly growing

AMEC's revenue has achieved solid growth since 2016, generating a CAGR of ~40% in 2016-25. The company's revenue comes mainly from: (1) semiconductor process equipment (85% of total revenue in 2025, including etcher, MOCVD, LPCVD & ALD); (2) spare parts (14% of total revenue in 2025), and (3) services (1% of total revenue). Etching equipment sales has been strong thanks to the company's strong technology capabilities, strong customer base, and continuing fab capacity expansion in China. We expect this momentum to continue as domestic fabs and memory makers are expected to continue to expand capacity, which requires more equipment. MOCVD, on the other hand, was hurt by a weak LED and display market in the past few years. But demand for LED and display has stabilized, and the company's new MOCVD for compound semiconductor used in power devices and optical chips will also expand its market reach. Therefore, we forecast this segment to return to growth in 2026F. LPCVD & ALD are the fast growing segments, but the relative contribution remains low.

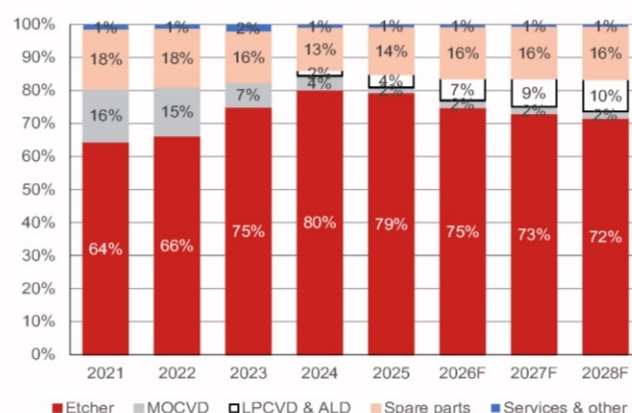
By our forecasts, we expect total revenue to record a CAGR of 34% in 2025-28F, with LPCVD & ALD being the fastest growth one (79% CAGR; low base, more products offering, market share gain), followed by MOCVD (45% CAGR; low base, more products offering), and etching (30% CAGR, stable growth).

Fig. 17: AMEC – revenue forecasts



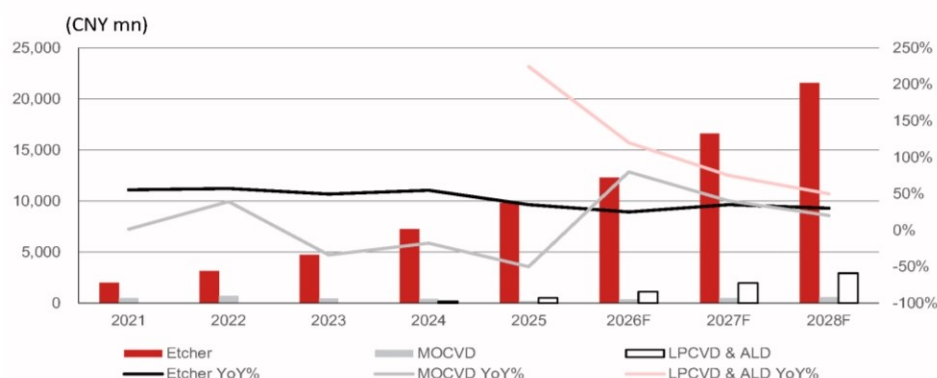
Source: Company data, Nomura estimates

Fig. 18: AMEC – revenue breakdown by segment



Source: Company, Nomura estimates

Fig. 19: AMEC – equipment revenue and relevant growth rate



Source: Company data, Nomura estimates

Margins stable across segments

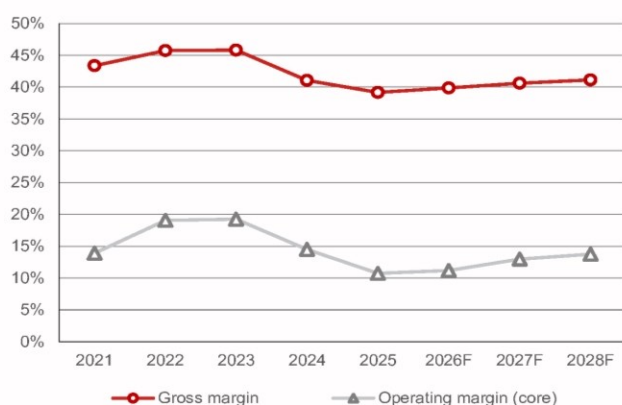
AMEC's profit margins had experienced a few years of growth from 2019 to 2023, thanks to margin expansion in both etching and MOCVD. The gross margin had two years of decline in 2024 and 2025, mainly due to some sales discounts to some key customers, and some promotion efforts in order to gain market share. Services have the highest

gross margin, ranging from 50-60%. Within equipment, LPCVD & ALD have the highest gross margin because they are relatively new products used mainly for higher-end applications. MOCVD has the lowest gross margin.

By our estimates, AMEC's gross margin is expected to improve steadily in our forecast period, helped by stable margins across segments. Introduction of new products may also help increase margins, in our view.

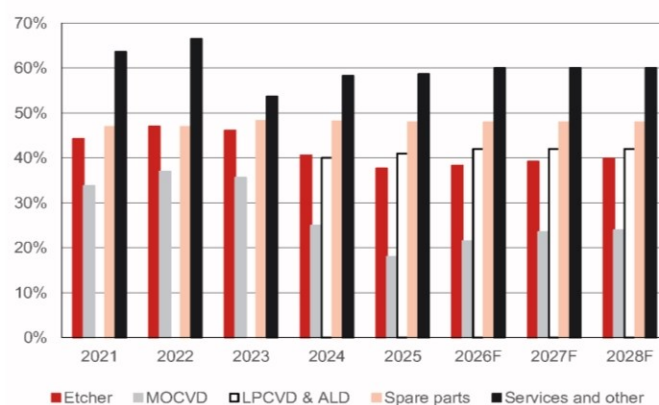
R&D expense has been the largest part of the operating expenses. AMEC's R&D expense ratio (as percentage of revenue) has been increasing (13% in 2023, 16% in 2024, 20% in 2025), mainly due to new product development, equipment upgrade and iteration. To maintain technology strength and keep its expanding market share, we expect the R&D expense ratio to be maintained at around 18-20% level in 2026-28F, in our view. As for the core operating profit margin (core operating profit defined as gross profit less taxes & surcharges, S&M, G&A, R&D) dipped in 2025 due to lower GPM and higher R&D ratio, partially offset by lower S&M and G&A ratio.

Fig. 20: AMEC – gross margin and core operating margin



Source: Company data, Nomura estimates

Fig. 21: AMEC – gross margins by segment



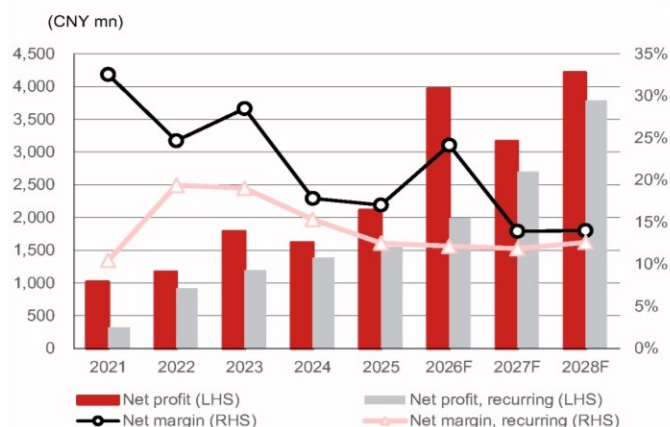
Source: Company data, Nomura estimates

Net profit and EPS

AMEC's net profit has been stable, largely in line with GPM and core OPM. We expect net profit to surge 88% y-y in 2026F mainly due to a large investment gain of CNY1.0bn (stock sales) and fair value gain of CNY992mn (financial assets accounted using FVTPL). If we look at recurring net profit, the growth rate in 2026F is likely to increase by 29%. In our forecast period, we expect the company's recurring net profit margin to stabilize at ~12% level, with recurring net profit recording a CAGR of 35% in 2025-28F.

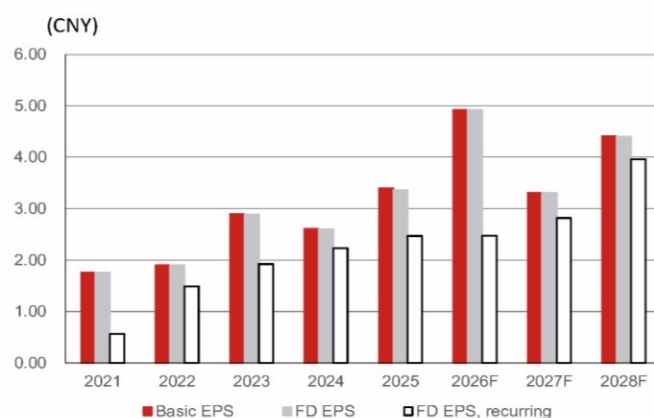
Basic and diluted EPS of the company was CNY3.40 and CNY3.36 in 2025 (basic and diluted weighted average shares of 621mn and 628mn, diluted effect around ~1%).

Fig. 22: AMEC – net profit and net margin



Source: Company data, Nomura estimates

Fig. 23: AMEC – basic, diluted, and recurring diluted EPS



Source: Company data, Nomura estimates

While our revenue forecasts for 2026F/ 2027F are slightly below the Bloomberg consensus, our 2028F forecast is quite lower, as we stay relatively conservative; however, we forecast sales growth to significantly exceed industry growth, and anticipate further upside potential. Our operating profit/ net profit estimates are lower than the consensus, as we believe that the significantly high investment and fair value gains (~CNY2.0bn in 1H26) are not recurring. That being said, we expect recurring net profit to grow significantly.

Fig. 24: Financial forecasts – Nomura versus consensus

Consensus forecast comparison			
(CNY mn)	2026F	2027F	2028F
Revenue - Nomura est	16,412	22,728	30,052
Revenue - consensus	16,969	23,654	31,980
Revenue - diff	-3.3%	-3.9%	-6.0%
Gross margin - Nomura est	39.9%	40.6%	41.1%
Gross margin - consensus	40.2%	40.8%	41.2%
Gross margin - diff	-0.3%	-0.2%	-0.1%
Operating profit (as reported) - Nomura est	4,108	3,479	4,650
Operating profit (as reported) - consensus	3,559	5,128	6,804
Operating profit (as reported) - diff	15.4%	-32.2%	-31.7%
Net profit - Nomura est	3,963	3,162	4,211
Net profit - consensus	4,274	5,163	7,214
Net profit - diff	-7.3%	-38.8%	-41.6%
Net profit, recurring - Nomura est	1,994	2,697	3,789
Net profit, recurring - consensus	n.a.	n.a.	n.a.
Net profit, recurring - diff	n.a.	n.a.	n.a.

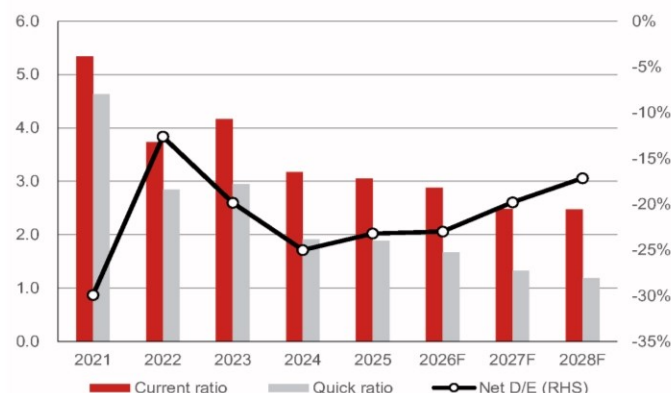
Source: Bloomberg Finance L.P., Nomura estimates

Balance sheet: high quality financial position

AMEC's net debt-to-equity ratio has been kept under 0%, at a net cash position. We do not expect any further debt to be raised, and believe the net debt-to-equity ratio will be maintained below 0%, ranging from -20% to -25%. As for liquidity, we find that the current ratio was above 3.0 and quick ratio was above 1.5, which are both in a healthy range, despite high contract liabilities resulting from pre-orders.

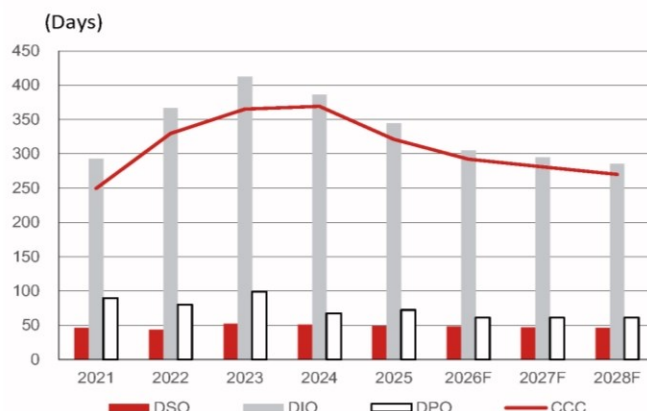
Working capital has been stable, but inventory days (DIO) has been at a high level (over 300 days), resulting in positive and high cash conversion cycle (CCC). This is very common in the semiconductor equipment industry, where equipment takes a long time to manufacture and assemble before revenue can be recognized, while components and parts need to be stockpiled in advance.

Fig. 25: AMEC – liquidity and solvency ratios



Source: Company data, Nomura estimates

Fig. 26: AMEC – working capital ratios



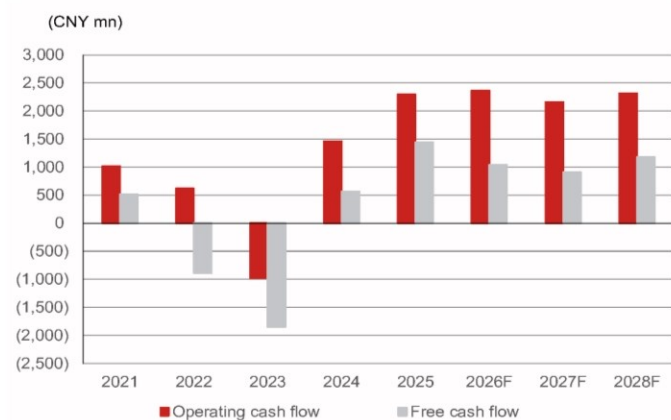
Source: Company data, Nomura estimates

Cash flow: positive

Operating cash flow was negative back in 2023, mainly due to an increase in working capital days and contract liability. We expect the company to maintain positive operating cash flow going forward. The capex ratio has been declining since 2022, thanks to fast

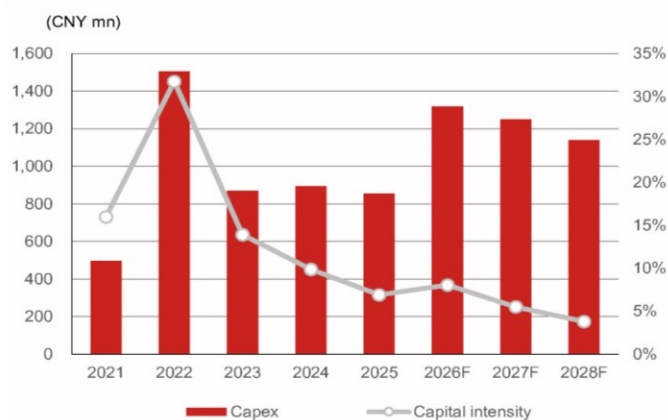
sales growth, which is outpacing capex increase. With market share gain as the primary goal, we expect the company's capex to increase in 2026F for those new production sites construction, and stay at a high level in the next three years. But with sales growth rate being strong, capital intensity is expected to continue going down.

Fig. 27: AMEC – operating cash flow and free cash flow



Source: Company data, Nomura estimates

Fig. 28: AMEC – capex and capital intensity



Source: Company data, Nomura estimates

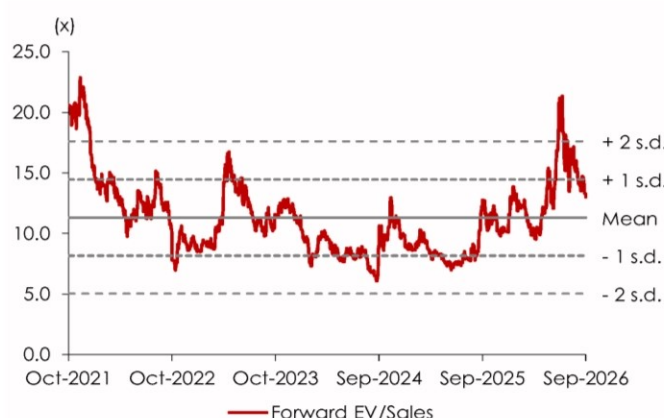
Valuation of AMEC: premium to local peers, but still upside to go

Being a manufacturing company, sales and profit are the ones driving valuation. P/E is normally used for these kinds of companies. However, Chinese equipment vendors, including AMEC, are now in a fast expansion stage, with sales growth and market share gain being the key focus. Therefore, we think sales-related valuation multiple should be more suitable for their valuation.

We choose **EV/sales** as our major valuation multiple to value Chinese SPE companies, mainly considering: (1) Chinese vendors are at mid-ramp, high-R&D phases whose profits are depressed by heavy investment and one-off items, so earnings multiples overstate their relative value; (2) Chinese players are now at sales expansion and market share driven stages, where sales growth and market share gain are the main focus for them, especially with the localization story.

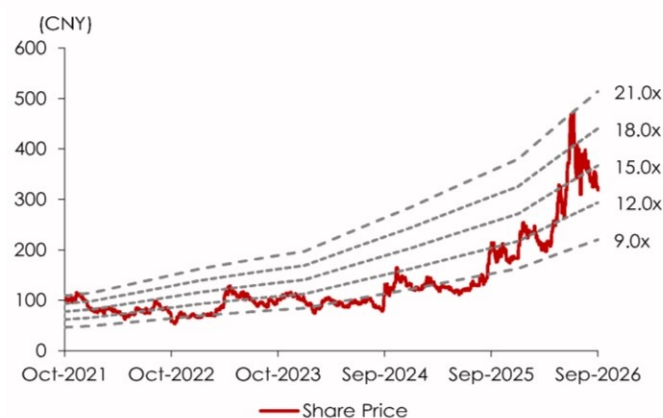
Historically, within the last 5-year period (2021-26), AMEC has largely traded at 6-23x forward EV/sales (average 11.4x), with the highest valuation in 2021, where the chipset shortage story dominate the China A-share market, and almost all semiconductor-related companies traded at their peak level. After de-rating, in the recent 3-year period (2023-26), AMEC has largely traded at 6-20x forward EV/sales, with average of 10.3x.

Fig. 29: AMEC – 5-year EV/sales trend



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 30: AMEC – 5-year EV/sales bands



Source: Bloomberg Finance L.P., Nomura estimates

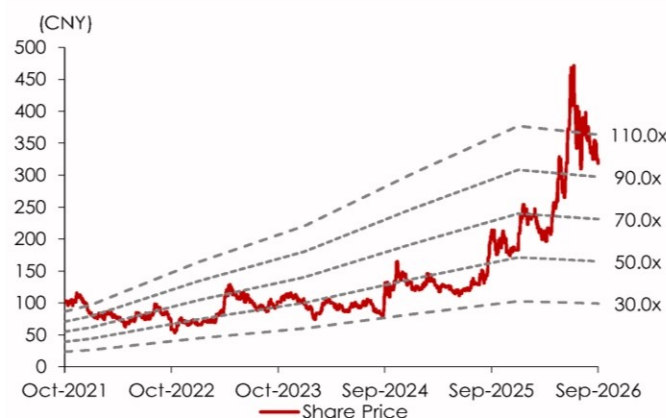
P/E multiple would be much more volatile than EV/sales. In the last 5-year period, AMEC's forward P/E was in the range of 30-145x with average of 62x. Volatility was significant, with average minus 2SD near 10x. This is also another reason why we chose EV/sales as our main valuation method.

Fig. 31: AMEC – 5-year P/E trend



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 32: AMEC – 5-year P/E bands

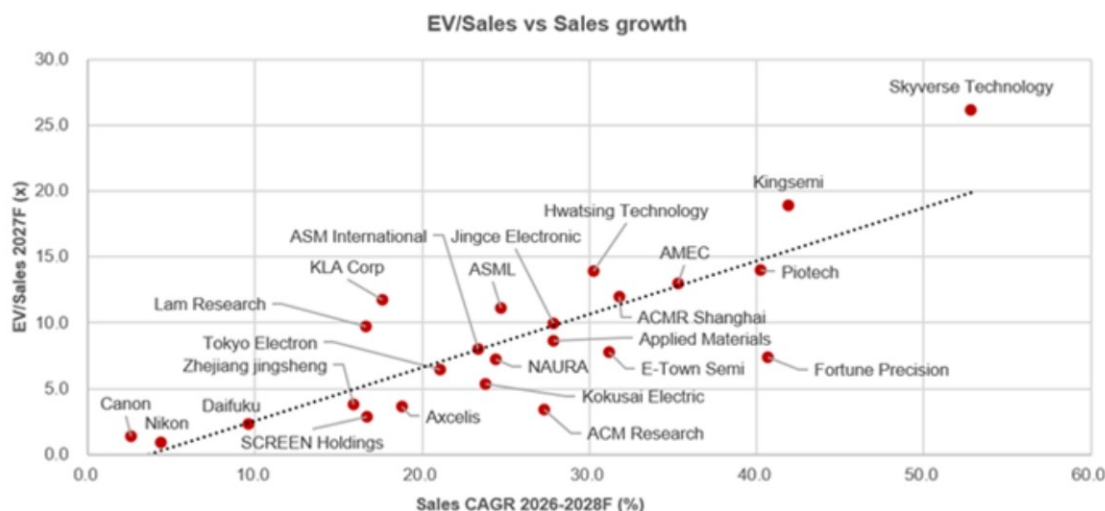


Source: Bloomberg Finance L.P., Nomura estimates

EV/sales is capital-structure neutral (EV includes net debt, so it is comparable across different leverage and tax regimes), and less affected by depreciation, amortization and R&D capitalization policy. For cross-market, cross-lifecycle comparison of hardware companies, EV/sales is a clean proxy. But limitation is equally clear: it says nothing about profitability, so it should always be read alongside margin and revenue growth.

China equipment vendors generally trade at a higher valuation than global peers. On EV/sales basis, global leaders trade at 2-10x 2027F EV/sales with an average of 5.7x, while domestic players largely trade at 6-30x with an average of 14.5x. We think the main reason for the premium is: (1) stronger sales and earnings growth especially in China market given their market share gains; and (2) localization story driving stronger sentiment.

Fig. 33: EV/sales vs revenue growth rate of global major equipment vendors



Source: Bloomberg Finance L.P., Nomura estimates

AMEC has been trading at a premium (30-50%) to local peers because of its strong technology capabilities (world-class etcher that could be supplied to TSMC's advanced process lines), strong customer base, and fast revenue growth. We believe this valuation premium will continue to exist in the following years as the positives remain. Therefore, we believe AMEC deserves a higher valuation given that: (1) the company's sales growth rate is expected to be higher than the industry; (2) the company has the world-class etching equipment that is supplied to global leading chipmakers, which forms a high entry barrier for other players; and (3) new products and new market entry further expand its total TAM.

We resume coverage on AMEC with a **Buy** rating. Our target price of **CNY480.00** is based on a target multiple of **20.0x forward EV/sales**, and our forecast of CNY22.7bn 2027F total revenue.

Fig. 34: AMEC – Valuation and target price

Valuation table

Target EV/sales	20.0 x
Valuation base	2027F
Revenue in 2027F (CNY mn)	22,728
Enterprise value (CNY mn)	453,421
Net debt in 2027F (CNY mn)	(5,779)
Minority in 2027F (CNY mn)	(31)
Equity value (CNY mn)	459,231
Wtd avg diluted shares in 2027F (mn)	957
Target price (CNY)	480.00

We use 20.0x EV/sales as our target multiple, based on: (1) EV/sales relevance with sales CAGR and our forecast for revenue; (2) we forecast AMEC's sales revenue to outperform the industry growth; (3) AMEC's technology strength in etching; (4) high exposure to memory makers, which have faster capacity expansion pace

Source: Nomura estimates

Financial statements

Fig. 35: AMEC – income statement forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F	1Q26	2Q26	3Q26F	4Q26F
Income Statement										
Revenue	6,264	9,065	12,385	16,412	22,728	30,052	2,915	3,776	4,054	5,667
COGS	(3,393)	(5,343)	(7,534)	(9,869)	(13,495)	(17,688)	(1,752)	(2,280)	(2,419)	(3,418)
Gross profit	2,870	3,722	4,850	6,543	9,233	12,365	1,163	1,496	1,635	2,249
Opex	(1,664)	(2,409)	(3,520)	(4,710)	(6,289)	(8,234)	(773)	(1,096)	(1,185)	(1,657)
Taxes and surcharges	(12)	(31)	(68)	(98)	(136)	(180)	(15)	(23)	(25)	(35)
S&M expense	(492)	(479)	(499)	(673)	(914)	(1,202)	(132)	(126)	(173)	(242)
Admin expense	(344)	(482)	(478)	(673)	(920)	(1,202)	(100)	(162)	(171)	(239)
R&D expense	(817)	(1,418)	(2,475)	(3,266)	(4,318)	(5,650)	(524)	(785)	(816)	(1,141)
Operating profit (core)	1,206	1,313	1,330	1,833	2,944	4,130	390	400	450	592
Finance cost	87	87	48	(40)	(20)	(5)	(10)	(8)	(11)	(11)
Investment income (excl. share of JV/asso.)	787	65	459	1,020	300	250	471	531	9	9
Share of JV and associate	(1)	23	52	110	80	70	28	55	13	13
Other gains	(100)	216	301	1,185	175	205	97	917	86	86
Operating profit (as reported)	1,980	1,704	2,191	4,108	3,479	4,650	976	1,895	547	689
Non-operating items	30	5	(1)	12	12	12	0	6	3	3
Pretax income	2,010	1,709	2,190	4,120	3,491	4,662	977	1,902	549	692
Income tax	(226)	(95)	(126)	(202)	(349)	(466)	(58)	(23)	(55)	(66)
Minority interests	2	1	47	45	20	15	12	16	10	7
Net profit (attr. to SH)	1,786	1,616	2,111	3,963	3,162	4,211	930	1,895	505	633
Basic EPS (RMB)	2.89	2.61	3.40	4.92	3.31	4.41	1.48	2.79	0.53	0.66
Diluted EPS (RMB)	2.88	2.60	3.36	4.92	3.30	4.40	1.48	2.79	0.53	0.66
Recurring net profit (attr. To SH)	1,191	1,388	1,550	1,994	2,697	3,789	478	645	398	473
Recurring FD EPS (CNY)	1.92	2.23	2.47	2.47	2.82	3.96	0.76	0.95	0.41	0.49
YoY Growth (%)										
Revenue	32.1	44.7	36.6	32.5	38.5	32.2	34.1	35.5	30.7	31.1
Gross profit	32.4	29.7	30.3	34.9	41.1	33.9	28.8	39.3	39.1	32.4
Operating profit (core)	33.6	8.8	1.3	37.8	60.6	40.3	66.4	101.9	84.4	(9.4)
Net income (attr. to SH)	52.7	(9.5)	30.7	87.7	(20.2)	33.2	197.2	382.3	(0.1)	(29.7)
Diluted EPS	52.0	(9.9)	29.3	46.3	(32.8)	33.2	197.8	349.1	(33.6)	(54.9)
Recurring net profit (attr. To SH)	29.6	16.5	11.6	28.6	35.3	40.5	60.1	168.2	14.3	(28.6)
Recurring FD EPS	29.0	16.1	10.4	0.3	14.0	40.5	60.4	149.8	(24.0)	(54.3)
Margins (%)										
Gross margin	45.8	41.1	39.2	39.9	40.6	41.1	39.9	39.6	40.3	39.7
Opex	26.6	26.6	28.4	28.7	27.7	27.4	26.5	29.0	29.2	29.2
Operating margin (core)	19.3	14.5	10.7	11.2	13.0	13.7	13.4	10.6	11.1	10.5
Pretax margin	32.1	18.9	17.7	25.1	15.4	15.5	33.5	50.4	13.6	12.2
Net margin	28.5	17.8	17.0	24.1	13.9	14.0	31.9	50.2	12.4	11.2
Recurring net margin	19.0	15.3	12.5	12.1	11.9	12.6	16.4	17.1	9.8	8.3
Segment revenue										
Dedicated equipment	5,166	7,812	10,527	13,743	19,016	25,063	2,412	3,173	3,280	4,879
Etcher	4,703	7,277	9,832	12,290	16,592	21,569	2,253	2,776	2,784	4,477
MOCVD	462	379	189	340	477	572	37	71	84	148
LPCVD & ALD	-	156	506	1,113	1,948	2,922	123	325	412	253
Spare parts	971	1,164	1,757	2,548	3,567	4,816	503	603	773	669
Services	127	90	100	120	144	173	0	0	1	119
YoY Growth (%)										
Dedicated equipment	34.3	51.2	34.8	30.6	38.4	31.8	34.3	38.7	27.7	25.9
Etcher	49.4	54.7	35.1	25.0	35.0	30.0	35.0	31.4	20.0	20.0
MOCVD	(34.0)	(18.0)	(50.1)	80.0	40.0	20.0	(35.0)	54.2	90.0	255.1
LPCVD & ALD	N/A	N/A	224.4	120.0	75.0	50.0	75.0	152.1	102.0	146.0
Spare parts	16.3	19.8	51.0	45.0	40.0	35.0	33.1	20.8	45.0	92.7
Services	120.8	(29.4)	12.0	20.0	20.0	20.0	20.0	20.0	20.0	20.0
Segment gross margin (%)										
Dedicated equipment	45.2	39.8	37.5	38.2	39.1	39.7	38.2	38.0	38.5	38.0
Spare parts	48.3	48.2	48.0	48.0	48.0	48.0	48.0	48.0	48.0	48.0
Services	53.7	58.3	58.7	60.0	60.0	60.0	54.4	57.9	60.0	60.0

Source: Company data, Nomura estimates

Fig. 36: AMEC – balance sheet forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Cash and cash equivalent	3,538	5,655	5,997	6,807	6,509	6,407
Restricted cash	3,552	2,106	1,954	1,954	1,954	1,954
Financial assets - ST	1,869	834	792	871	958	1,054
Notes receivable	48	93	60	62	64	66
Account receivable	1,165	1,352	1,987	2,330	3,523	4,051
Prepayment	112	54	60	63	66	69
Other receivables	10	11	90	93	97	101
Inventory	4,260	7,039	7,170	9,323	12,121	15,501
Contract assets	37	28	16	16	16	16
Other current assets	495	728	809	825	841	858
Current assets	15,087	17,901	18,934	22,344	26,150	30,078
Financial assets - LT	1,203	1,769	2,172	2,606	3,128	3,753
Equity method investment	1,020	870	1,445	1,555	1,635	1,705
PP&E - net	1,988	2,716	2,829	3,659	4,610	5,468
Construction in progress	849	652	863	1,080	1,067	1,015
Right-of-use assets	26	16	10	12	13	13
Intangible assets	687	693	1,286	1,777	2,078	2,226
Development costs	506	1,248	1,535	1,261	1,097	998
Goodwill	-	-	-	-	-	-
L/T Accrued expenses	5	6	4	9	13	16
Deferred tax asset	102	180	335	335	335	335
Other non-current assets	53	167	433	477	526	580
Total non-current assets	6,438	8,317	10,912	12,771	14,500	16,108
Total assets	21,526	26,218	29,846	35,116	40,649	46,186
S/T Borrowing	-	-	-	-	-	-
Notes payables	-	-	-	-	-	-
Account payables	1,305	1,680	1,856	2,102	3,311	3,784
Contract liabilities	772	2,586	3,044	4,091	5,409	6,221
Employee benefits payables	288	391	453	667	858	1,155
Tax payables	196	209	102	107	112	118
Other payables	469	580	527	569	615	664
Non-current liabilities within 1 year	510	36	19	19	19	19
Other current liabilities	84	152	200	200	200	200
Total current liabilities	3,624	5,634	6,202	7,756	10,525	12,161
L/T Borrowing	-	722	730	730	730	730
Bonds payable	-	-	-	-	-	-
Lease liabilities	17	11	5	5	5	5
Deferred income	21	96	170	187	205	226
Other non-current liabilities	41	20	10	10	10	10
Total non-current liabilities	79	848	915	932	951	972
Total liabilities	3,702	6,482	7,117	8,688	11,476	13,133
Share capital	619	622	626	626	626	626
Capital reserve	13,317	14,102	15,042	15,042	15,042	15,042
Treasury stock	-	(301)	(216)	(216)	(216)	(216)
Other comprehensive income	9	2	7	7	7	7
Statutory reserves	310	311	313	630	946	1,367
Retained earnings	3,571	4,999	6,922	10,349	12,798	16,272
Other capital adjustments	-	-	-	-	-	-
Equity attributable to Company	17,826	19,737	22,695	26,438	29,204	33,099
Minority interests	(3)	(1)	34	(11)	(31)	(46)
Total equity	17,823	19,736	22,729	26,428	29,173	33,053
Total equity and liabilities	21,526	26,218	29,846	35,116	40,649	46,186

Source: Company data, Nomura estimates

Fig. 37: AMEC – statement of cash flow forecasts

FYE 31 Dec (CNY mn)	2023	2024	2025	2026F	2027F	2028F
Profit before taxation	2,010	1,709	2,190	4,120	3,491	4,662
Provision for impairment loss (+)	21	139	123	-	-	-
D&A expenses	175	260	350	482	605	714
Depreciation of PP&E	62	112	153	183	232	284
Depreciation of Right-of-use assets	13	11	7	6	7	7
Amortization of Intangible assets	99	136	188	288	359	416
Amortization of L/T Accrued expenses	1	2	2	5	7	6
Finance cost	(71)	(32)	19	40	20	5
Investment income	(787)	(65)	(459)	(1,020)	(300)	(250)
Share of JV and associate	1	(23)	(52)	(110)	(80)	(70)
Inventory - decrease	(870)	(2,897)	(209)	(2,153)	(2,797)	(3,380)
Account receivables - decrease	(911)	(417)	(706)	(343)	(1,194)	(528)
Account payables - increase	(809)	(2,469)	671	246	1,209	473
Contract liabilities	(1,424)	1,815	457	1,047	1,318	811
Tax paid	(292)	(165)	(185)	(202)	(349)	(466)
Others	1,979	3,603	98	253	236	346
Net cash flows from operating activities	(977)	1,458	2,295	2,360	2,158	2,317
Capex - total	(870)	(895)	(855)	(1,320)	(1,250)	(1,140)
investments related, net	3,062	2,382	(253)	506	(308)	(471)
Acquisition, net	-	-	-	-	-	-
Disposal of assets	4	3	8	-	-	-
Others	(368)	(844)	(1,005)	(477)	(482)	(487)
Net cash flows from Investing activities	1,827	646	(2,105)	(1,291)	(2,040)	(2,098)
Share issuance	372	259	395	-	-	-
Capital injection of MI	-	3	8	-	-	-
Debt raised (repaid), net	-	249	(9)	-	-	-
Interest paid	(14)	(15)	(18)	-	-	-
Dividend paid	(124)	(186)	(187)	(219)	(396)	(316)
Others	(12)	(311)	(7)	(40)	(20)	(5)
Net cash flows from financing activities	223	(2)	182	(259)	(416)	(321)
Net cash flows	1,073	2,103	372	810	(298)	(102)
Effect of FX	12	14	(31)	-	-	-
Cash and cash equivalents - beg	2,453	3,538	5,655	5,997	6,807	6,509
Cash and cash equivalents - end	3,538	5,655	5,997	6,807	6,509	6,407
Free cash flow (FCF)	(1,847)	563	1,440	1,040	908	1,177

Source: Company data, Nomura estimates

Key risks

Customer concentration: AMEC's top 5 customers accounted for ~75% of 2025 revenue, with the largest single customer at ~40%. Core domestic customers include YMTC, CXMT, SMIC, HuaHong Group. Overseas customer include TSMC, SK Hynix. Revenue is thus tied to small number of fabs capex schedules.

Slowdown in Chinese fab capex, particularly memory makers (YMTC, CXMT) and advanced logic (SMIC, HLMC) would impact order and sales outlook of Chinese equipment vendors.

Component shortage and constraints: Though the overall component localization rate is over 50%, but critical and high-end equipment components are still mainly supplied by overseas suppliers (Japan, Europe, US). Failure to acquire enough component supplies (overseas suppliers, or domestic alternatives) will impact delivery of equipment, and hence impact sales.

Intensified competition: NAURA's broader platform (after acquisition of Kingsemi), Piotech's expertise in PECVD/ALD, ACM Research's new PECVD pipeline, and Hwatsing's PECVD/ALD pipeline, would intensify the competition in the CVD area.

US sanctions escalation: US export controls on critical high-end tools may potentially impact Chinese fabs capacity expansion pace, and hence impact order and sales outlook of equipment suppliers. In addition, the US may also restrict overseas customers from acquiring equipment from AMEC, hurting AMEC's overseas revenue.

Technology strength and R&D: Leading-edge deposition demands high performance in uniformity and precision, which requires huge amount of R&D to maintain strength and keep the moats. Failure to do so will potentially cause market share loss and margin contraction.

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.

See [Disclaimers](#) for Nomura Group entity details.

Analyst Certification

We, Clint Su and Donnie Teng, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

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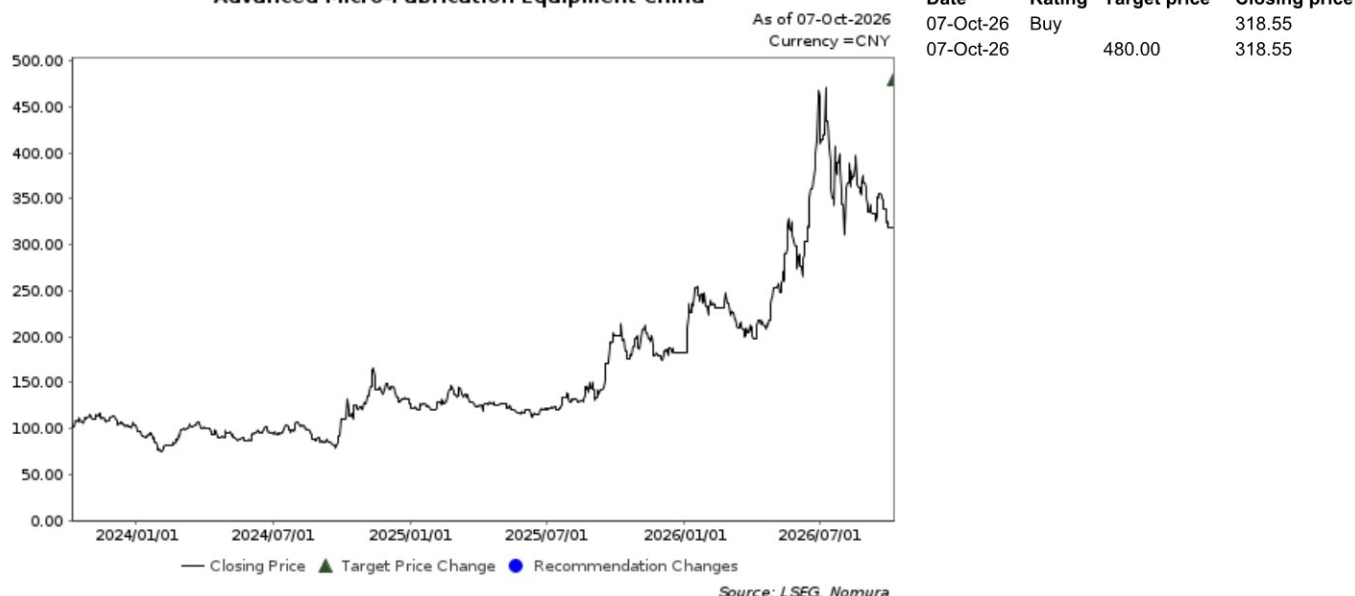
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Advanced Micro-Fabrication Equipment China	688012 CH	CNY 318.55	30-Sep-2026	Buy	N/A	

Advanced Micro-Fabrication Equipment China (688012 CH) CNY 318.55 (30-Sep-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Advanced Micro-Fabrication Equipment China



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of CNY480.00 is based on 20.0x EV/Sales multiple, and our 2027F revenue forecasts. We believe AMEC will continue to have higher valuation than domestic peers given its strength in etching, higher-than-market sales growth, and continuing market share increase. The reason for choosing EV/Sales include: (1) Chinese equipment vendors are now at sales expansion and market share gain stage, where revenue growth is focused; (2) EV/Sales is relatively market neutral, allowing comparison globally across different markets; (3) the relative low volatility of EV/Sales makes it more reliable and referable. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) less aggressive wafer fab capacity expansion in China; (2) slower market share gain for AMEC; (3) substitution from overseas customers; (4) intensified competition; (5) easing of equipment export control from US, Japan, Netherlands.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.

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As at 30 September 2026.

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